

## Multiple Choice (10 marks)

1. Stagflation occurs when
  - (a) the price level rises for two consecutive quarters
  - (b) the price level rises and output falls
  - (c) the price level stays the same and output increases
  - (d) the price level stays the same and output decreases
2. Suppose that there are only two goods: x and y. Which of the following is NOT correct?
  - (a) One can have comparative advantage in producing both goods.
  - (b) One can have both an absolute advantage and a comparative advantage in producing x.
  - (c) One can have absolute advantage and no comparative advantage in producing x.
  - (d) One can have comparative advantage and no absolute advantage in producing x.
3. A fixed output level in the long run at full-employment output corresponds with which of the following shapes of the long-run Phillips curve?
  - (a) Horizontal
  - (b) Convex to the origin
  - (c) Concave to the origin
  - (d) Vertical
4. Which characteristic is likely a part of a monopoly market but not of monopolistic competition?
  - (a) Differentiated products
  - (b) Patents and copyrights
  - (c) Possibility of profit in the short run
  - (d) Deadweight loss exists
5. Suppose a price floor is installed in the market for coffee. One result of this policy would be
  - (a) a decrease in the demand for coffee-brewing machines.
  - (b) a persistent shortage of coffee in the market.
  - (c) an increase in consumer surplus due to lower coffee prices.
  - (d) an increase in the demand for coffee.

## True / False (10 marks)

*Answer True or False*

6. True or False: Price times quantity measures total revenue in economics.
7. True or False: The Consumer Price Index (CPI) is calculated monthly by the Bureau of Labor Statistics.
8. True or False: Economic growth is measured by the number of businesses in the economy.
9. True or False: An expansionary monetary policy tends to worsen the balance of trade by increasing imports more than exports.
10. True or False: The U.S. military opening a new base abroad is counted in the U.S. GDP as it involves American personnel and resources.

## Long Form Response (20 marks)

*Answer each question with a clear and complete explanation.*

11. Discuss the concept of seasonal unemployment using Theo's experience of losing his job at the public swimming pool during winter as a case study. Analyze its implications on the economy.
12. Discuss how rising price levels can affect the effectiveness of government expansionary fiscal policy and the resulting spending multiplier.

*End of Paper*